

Module 5

Information Management

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

According to Porter's value chain model, the four types of support activities and their examples are as follows:

- Administration and management, such as legal, accounting and finance management.
- Human resource management, such as personnel, recruiting, training and career development.
- Product and technology development, such as product and process design, production engineering, and research and development.
- Procurement, such as supplier management, funding, subcontracting and specification.

Answer 1(b)

Real-time data means the data is available immediately after it is captured.

Accountants should be aware of real-time data because of the following benefits:

- it increases the speed at which transaction data enters the systems; and
- it increases the demand of using real-time data to generate reports and dashboards for executives and senior management.

Answer 1(c)

The common types of cloud deployment models used in cloud computing are:

- private cloud;
- public cloud;
- community cloud;
- hybrid cloud; and
- multi-cloud.

[Any three of the above]

Answer 2(a)

The following planning activities are necessary and should be completed before running an e-commerce business:

- Writing a value proposition to describe the value that the e-commerce will provide as well as the reason(s) why individuals or organisations will pay for the products or services being offered.
- Choosing a revenue and business model that represent how the e-commerce business will make money.
- Analysing the market to determine how the e-commerce business can successfully compete for customers.
- Creating a marketing plan that describes how the e-commerce business will attract customers.
- Choosing the technologies and other services necessary to deliver the product or services to customers and collect payments from customers.
- Developing a financial plan that includes revenue and expenses, with both fixed and variable items.
- Developing an implementation plan that includes projected system development activities and project milestones.

[Any three of the above]

Answer 2(b)

- (i) With psychological pricing, customers often react emotionally or even irrationally to prices. For example, customers respond far more favourably to a product that is marked up from \$400 to \$500 and then with 20 percent off discount. (A variation on this pricing strategy is to price an item at \$299 instead of \$300, customers may respond far favourably even though the difference in price is insignificant.)
- (ii) With bundle pricing, a business sells a number of items for less than if the items are purchased separately. For example, Product A and Product B are listed as \$10 and \$15, respectively. Under bundle pricing, the bundle of Product A and B is listed as \$22 or less.
(A variation on this pricing strategy is to offer free shipping or installation if a customer's order exceeds a certain amount of money, say \$2,000.)
- (iii) With price-match guarantees, a business sells some products or even all its products for less than all the competitors in the market to discourage customers from purchasing products from other competitors. A money return guarantee is also offered to customers. For example, a customer purchases a particular item at \$150 from the

business. Later on, the customer can receive a money return from the business if the customer discovers and reports that another business offers the same item for \$135.

Answer 2(c)

Under a consumer-to-consumer (C2C) model, an individual sells products or services to other individuals.

In this case, you can create an account for yourself (or your personal business) in a well-known e-marketplace, such as e-Bay, Facebook Marketplace, Carousell, Taobao, Tmall, JD.com, etc, and then start selling some household accessories there. Most of these e-marketplaces allow individuals to set up their own e-shop without setting up a real company. This may help you to explore whether the business is sustainable before setting up a real and formal business.

Answer 3(a)

- (i) Closed-loop verification - this ensures that a valid and accurate VIP code has been entered. The system is able to retrieve and display the corresponding name and even the photo of the VIP to a salesperson for verification.
- (ii) Reasonableness check - this determines whether the discounted selling price of an item is more than its unit cost with a pre-defined formula/logic. If not, the system rejects the entry and does not allow a salesperson to save the transaction.
- (iii) Valid code test (or Validity check) - this determines whether the product code of the returned item can be found in the products master file. If not, the system prompts an error message and informs the customer service representative that the returned item cannot be found, so, they should not accept the invalid item from the customer.

Answer 3(b)

The following are reasons for implementing segregation of duties within information systems:

- No person has complete control over critical systems or processes.
- This promotes a reduction of errors.
- It would be more difficult for users to engage in fraud or abuse.
- The information systems would be less dependent on a single user performing several key interrelated business processes.

[Any two of the above]

Answer 3(c)

The main difference between symmetric and asymmetric key encryption is that symmetric uses one key for both encryption and decryption while asymmetric uses one key (the receiver's public key) for encryption and uses another key (the receiver's private key) for decryption.

Answer 4(a)

- (i) Management can use relevant information to answer questions and to confirm or refute opinions or assumptions.
- (ii) Information can draw attention to problems and help managers to identify and address the underlying causes.
- (iii) Organisations can monetise the collected data by selling them to other businesses which can benefit from using them.

Answer 4(b)

Tactical-level management usually uses information to design business processes, procedures and policies.

With the help of external information, the management can know what new technologies are available and which could be used in the organisation to enhance efficiency of business processes and procedures. Furthermore, the management can learn some best practices and business cases from other organisations, such as professional bodies or consultancy firms, in order to assist them in designing and facilitating new policies for ensuring compliance.

Answer 4(c)

A management information system (MIS) can generate any two of the following types of reports:

- Periodic: these reports are created and generated according to a pre-set schedule, such as daily, weekly and quarterly.
- Exception: these reports are generated to spot any abnormal account balance(s), transaction amount(s) or business activity(ies) within the organisation.
- Ad hoc (or on demand): these reports are unplanned reports generated on demand to learn more about a specific situation, problem or opportunity.

[Any two of the above]

Answer 4(d)

Online analytical processing is computer processing that involves using data-extraction tools to obtain complex information that describes what happened and why it happened.

Answer 4(e)

X-axis: cost type

Y-axis: region

Z-axis: period (month-year)

Alternative:

X-axis: region

Y-axis: cost type

Z-axis: period (month-year)

Answer 5(a)(i)

An IT steering committee consists of a group of executives, managers and some representatives from different departments, and it has the following responsibilities:

- linking corporate strategy with information technology strategy;
- approving the allocation of resources for information systems; and
- establishing performance measures for information systems and ensuring they are met.

[Any two of the above]

Although the senior management of the company has decided to replace its legacy point-of-sales (POS) system, it is necessary to let the IT steering committee discuss and endorse this IT project. During the committee meeting(s), the members can review and ensure whether:

- the new POS system really meets the organisation's needs,
- the new POS system has a higher priority than other IT projects, and
- the company has sufficient resources to be allocated to this IT project.

[Any three of the above]

Answer 5(a)(ii)

Apart from economic feasibility, the following feasibility factors should also be analysed for this IT project:

- organisational feasibility - this is an assessment of how well the system will be accepted by its users and incorporated into the ongoing operations of the organisation;
- technical feasibility - this is an assessment of whether the organisation has or can develop or acquire the technology(ies) to complete the project;
- schedule feasibility - this is an assessment of whether sufficient time and human resources are available to allocate to the project;
- legal feasibility - this is an assessment of any legal, regulatory, or environmental factors that may impact the project; and
- operational feasibility - this is an assessment of people, processes, and systems that may impact the proposed project's success.

[Any four of the above]

Answer 5(b)

There are many providers of POS systems in the market, with their systems differing in functions and system cost. The following matters could be done to assist the project team in finding suitable and affordable POS systems for further consideration:

Issuing a request for proposal - this is used to solicit formal proposals from vendors and developers based on the same system needs and requirements.

Preparing an alternative matrix - this is used to organise the pros and cons of different types of POS systems to facilitate the decision-making process and find suitable and affordable POS systems for further consideration.

(Remarks: A request for information (RFI) is usually used for asking general (less detailed) information of some simple systems/software with smaller or even similar cost, such as office application software, off-the-shelf accounting software or anti-virus software. A request for quote (RFQ) is usually used for asking the price of a specific application software or equipment, such as a specific office application software or a specific model of computer or printer.)

* * * END OF EXAMINATION PAPER * * *